

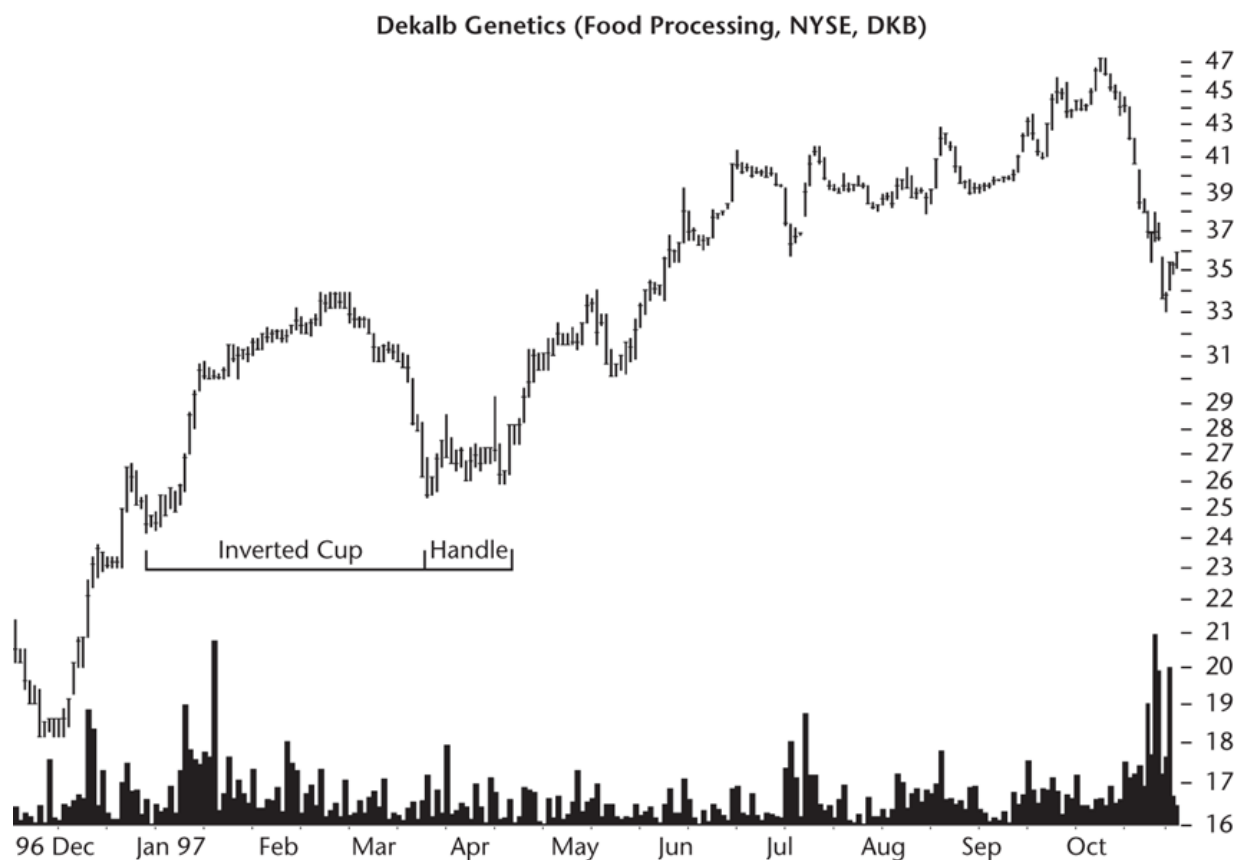


Figure 22.4 This is not an inverted cup-with-handle because price fails to close below the right cup rim and confirm the pattern. The breakout is upward, not downward.

As you probably guessed, the breakout is upward (it should be downward). Had you shorted the stock in the handle, you would be looking at a loss. The image is a glaring example of why you should wait for the breakout, especially when considering a short sale.

Figure 22.5 shows the next example of a failed trade. Running through the identification guidelines, the price trend leading to the pattern is flat, but that's okay. The cup is rounded with rims at the same price. The handle has an upward bounce that measures 61%, close to the Fibonacci retrace of 62%. The breakout is downward, as required by the guidelines. However, price drops just 3% before rebounding.

What happened?

Looking back on the weekly scale shows extensive support and resistance beginning in mid-1999 (not shown) and lasting for a year at 6.50. That price